

encouragement from uninformed but smug alumni, demanded changes, forcing the Meyer team out.

At this point in the story, you may be wondering why you should care about an Ivy League school and its \$50 billion endowment. The answer is a surprising lesson in this section of unforced errors.

We have discussed already just how rare and delicate outsized success in investing is. You know the names of people like Warren Buffett, Peter Lynch, and Jim Simons *because* they are such outliers.

Since Meyer's departure in 2005, HMC has suffered a stunning fall from grace. It lost money in the financial crisis, failed to participate in the subsequent recovery of the 2010s, and was one of the worst-performing college endowments. All of these investing catastrophes were avoidable, self-inflicted wounds. Worse still, the losses occurred in ways Meyer's approach would have avoided. During the financial crisis, Harvard's endowment lost as much as a third of its value. Even five years later, its annualized returns were only 2%. And in 2016, HMC's annual report was grim reading: Despite markets being up ~12%, the fund lost \$2 billion.<sup>[300](#)</sup>

After the 2016 debacle, Harvard Management Co. changed the way it oversees the world's largest university endowment. It fired half of its 230 employees and began outsourcing most of its money management.



When an investment management team consistently outperforms its benchmarks, as Harvard's was, *don't do anything to ruin it*. In a world where so much can go wrong, great investment success is both rare and delicate. Do nothing to upset that fragile balance.

Yes, Harvard saved about \$50 million in money manager bonuses. Those savings led to the departure of a team that was creating billions of dollars in excess annual investment returns—and was likely to continue creating those fabulous returns over time.

Giving up billions to save \$50 million in costs is a trade you should never